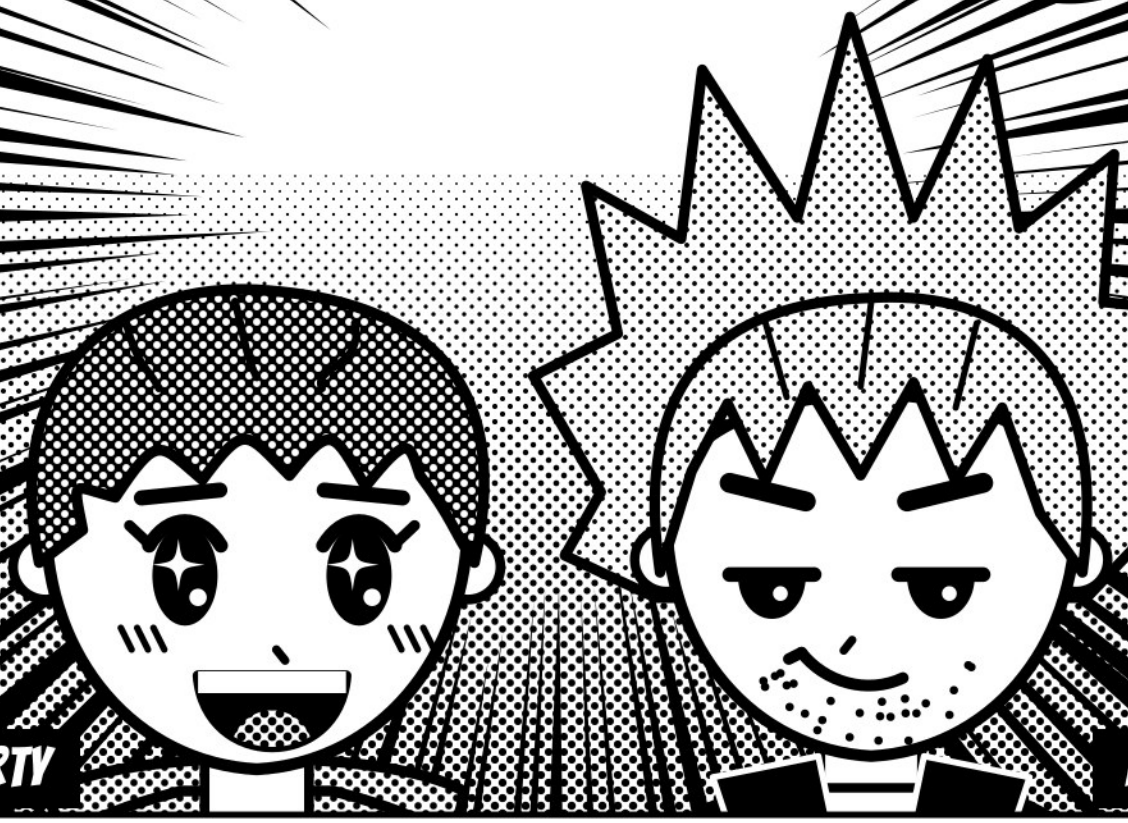
MONEY BRAINROT

MODULE 3 · UNDERSTAND INVESTING

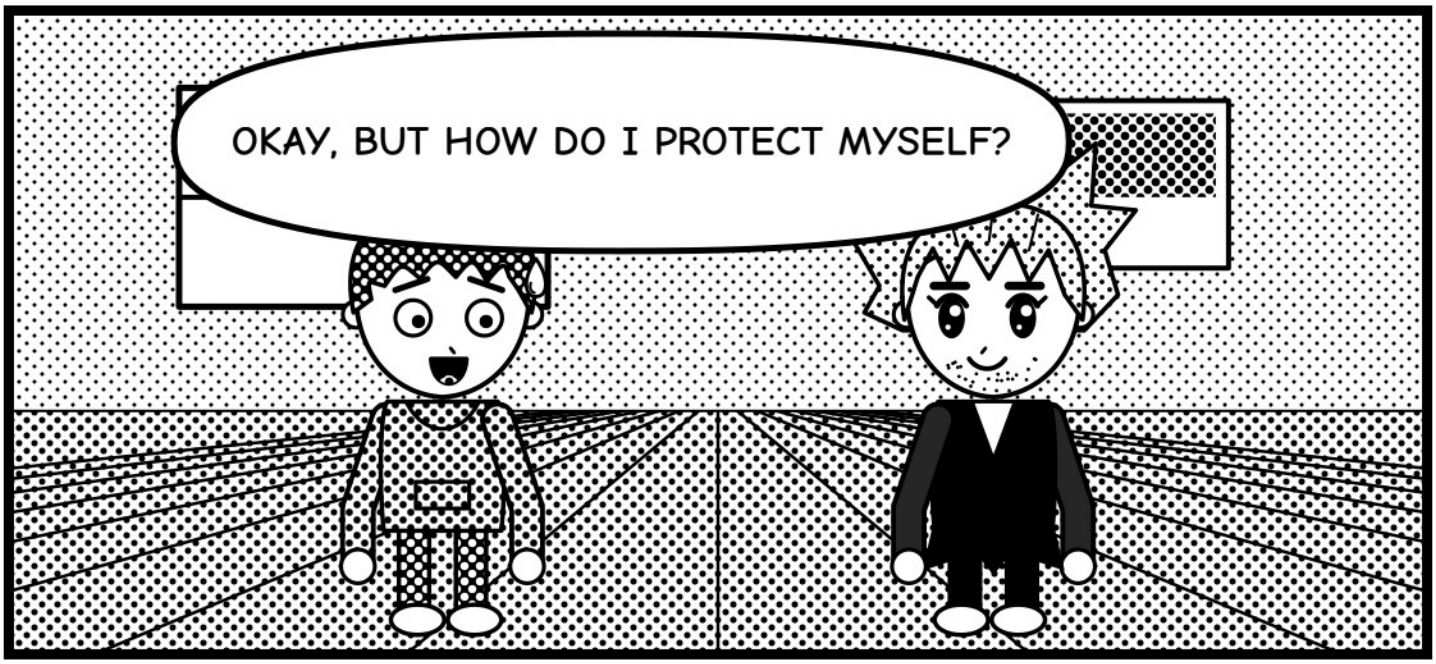
DIVERSIFICATION

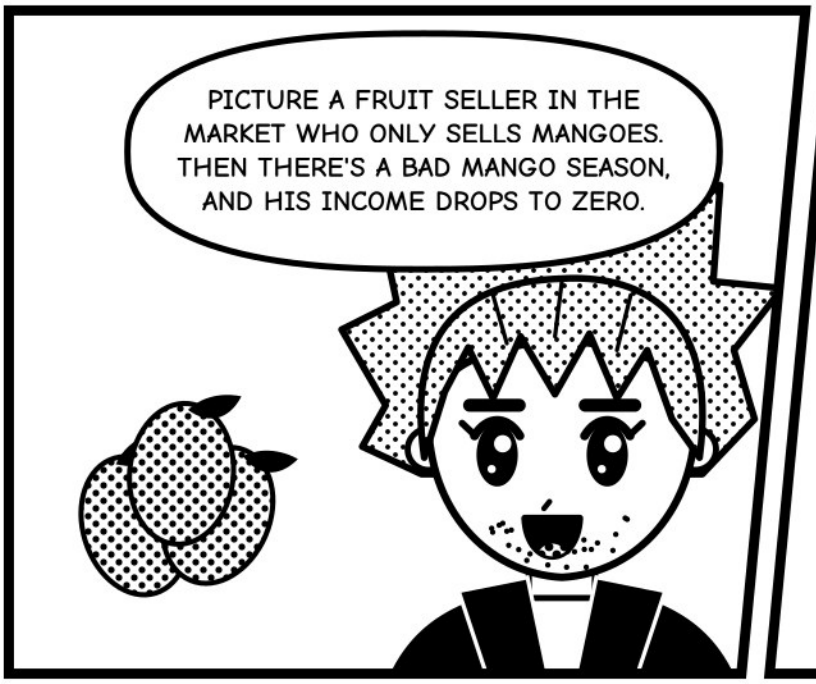
PART 2 OF 2

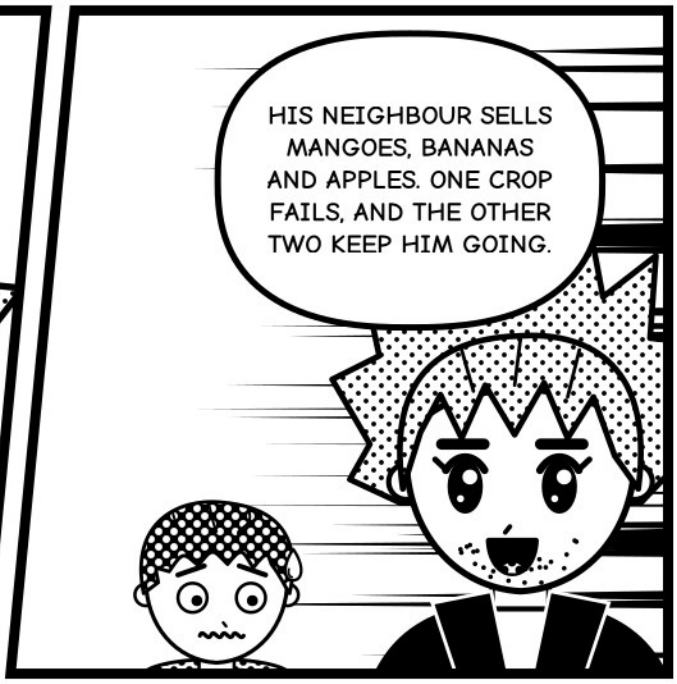
REEL 6



#RiskAndReturn #Diversification #DontPutAllEggsInOneBasket
#InvestingBasics #FinancialLiteracy #MoneyBrainrot

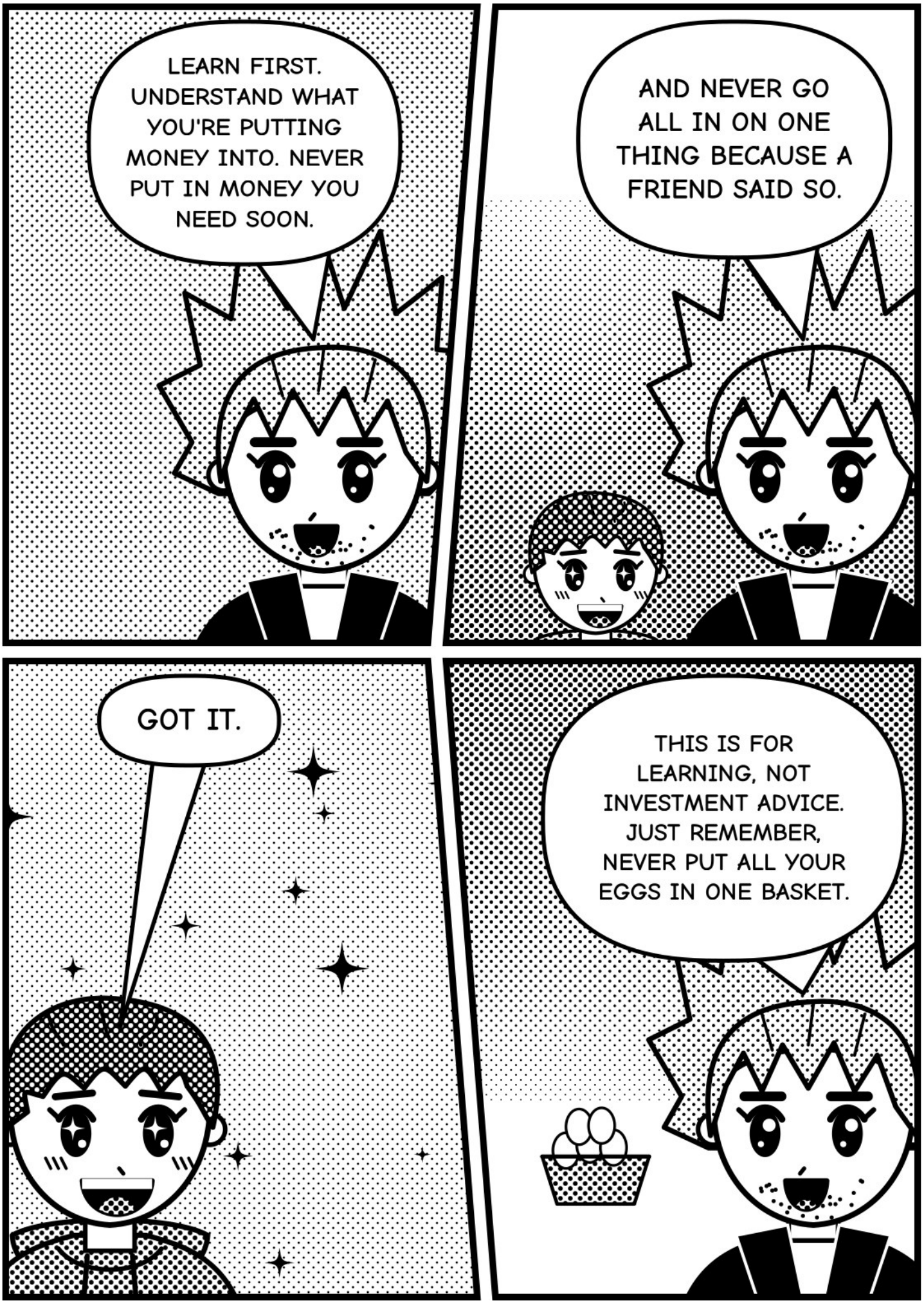

OKAY, BUT HOW DO I PROTECT MYSELF?


PICTURE A FRUIT SELLER IN THE MARKET WHO ONLY SELLS MANGOES. THEN THERE'S A BAD MANGO SEASON, AND HIS INCOME DROPS TO ZERO.


HIS NEIGHBOUR SELLS MANGOES, BANANAS AND APPLES. ONE CROP FAILS, AND THE OTHER TWO KEEP HIM GOING.


SO DON'T SELL ONLY MANGOES.


EXACTLY. THAT'S DIVERSIFICATION. YOU SPREAD YOUR MONEY ACROSS DIFFERENT KINDS OF THINGS, SO ONE BAD EVENT CAN'T WIPE YOU OUT.
HMPH
BUT MY FRIEND JUST GOT RICH FROM ONE THING!
THAT'S SURVIVORSHIP BIAS, MORTY. YOU ONLY HEAR FROM THE WINNERS. THE GUYS WHO LOST EVERYTHING AREN'T POSTING SCREENSHOTS.
AND REMEMBER, JUST BECAUSE SOMETHING WENT UP LAST MONTH, DOESN'T MEAN IT'LL GO UP NEXT MONTH.
OH GEEZ. SO WHAT SHOULD I DO?
GULP


LEARN FIRST. UNDERSTAND WHAT YOU'RE PUTTING MONEY INTO. NEVER PUT IN MONEY YOU NEED SOON.
AND NEVER GO ALL IN ON ONE THING BECAUSE A FRIEND SAID SO.
GOT IT.
THIS IS FOR LEARNING, NOT INVESTMENT ADVICE. JUST REMEMBER, NEVER PUT ALL YOUR EGGS IN ONE BASKET.



REMEMBER THIS

1. Diversification means spreading your money across different things so one bad event can't wipe you out.
2. Survivorship bias: you only hear from the winners. The people who lost everything aren't posting screenshots.
3. Learn first, never invest money you need soon, and never go all in because a friend said so.
4. For learning, not investment advice.